

Proposal: Bitcoin DeFi Treasury Company

Executive Summary

This proposal outlines the creation of a publicly listed digital asset treasury company focused on unlocking Bitcoin DeFi through the Cardano ecosystem. The company will hold a treasury of Bitcoin and ADA while supporting and benefiting from infrastructure that enables Bitcoin liquidity to be deployed safely within decentralized finance (DeFi).

The core thesis is simple:

Bitcoin is the world's largest digital asset, but most Bitcoin remains economically idle.
Cardano provides the safest and most robust environment to unlock the productive use of Bitcoin through decentralized finance.

By combining Bitcoin reserves, Cardano staking, and strategic investments in Bitcoin DeFi infrastructure, the company positions itself as a public-market gateway to the emerging Bitcoin DeFi ecosystem.

The company will be structured as a single operating entity, maintaining a simple narrative and transparent treasury.

1. Strategic Thesis

Bitcoin is the largest and most widely recognized digital asset, yet it has limited native functionality beyond holding and transfer. Most Bitcoin remains unused capital. Meanwhile, decentralized finance has demonstrated the ability to generate:

- liquidity
- lending markets
- yield
- financial infrastructure.

However, Bitcoin DeFi has historically faced two challenges:

1. security risks from bridges and custodial systems
2. execution environments that prioritize speed over safety.

2. Why Cardano Is the Safest Platform for Bitcoin DeFi

Many smart contract platforms rely on architectures built around:

- global mutable state
- complex runtime execution paths
- smart contract based token standards
- deeply interdependent composability.

In these environments, tokens themselves are often implemented as smart contracts, meaning even simple transfers require executing code. As financial applications become more composable, execution complexity increases and the number of possible vulnerabilities grows. This has resulted in billions of dollars in value

being lost every year and A.I. will continue to accelerate the ability for hackers to exploit weaknesses on blockchains not originally designed to operate with high assurance or developed using formal methods.

Cardano was designed and developed that way and takes a fundamentally different architectural approach.

It is built with the extended UTxO (eUTxO) model, an evolution of Bitcoin's transaction architecture. Rather than relying on shared global state, Cardano uses explicit and localised state transitions tied to individual transaction outputs.

This along with other Cardano design choices provides several important advantages for financial infrastructure:

- deterministic smart contract validation
- explicit and predictable state transitions
- native assets implemented directly at the ledger level
- basic asset transfers that do not require contract execution
- true liquid non-custodial staking
- decentralised governance.

Smart contracts on Cardano operate within a deterministic validation model rather than acting as continuously executing programs that control global state.

By separating assets from contract execution and avoiding shared global state, Cardano significantly reduces several common sources of vulnerability, including shared-state attacks, re-entrancy risks, and complex emergent execution behaviour.

These design principles closely align with Bitcoin's security-first philosophy, which means Cardano represents the safest platform on which Bitcoin DeFi infrastructure can emerge.

3. Company Model

The company will operate as a digital asset treasury and ecosystem investor. The core treasury assets will be Bitcoin and ADA.

These assets will support three economic activities.

3.1 Digital Asset Treasury

The company will accumulate Bitcoin and ADA as reserve assets. Bitcoin provides exposure to the dominant digital asset store of value. ADA provides access to the Cardano ecosystem and staking yield.

3.2 Yield Generation

ADA will be staked to generate protocol rewards. Bitcoin may be deployed into decentralized finance infrastructure as it matures. Potential yield sources include:

- staking rewards
- liquidity provision
- lending markets.

3.3 Infrastructure Investment

The company will invest in firms building the infrastructure required for Bitcoin DeFi, including:

- Bitcoin interoperability solutions
- decentralized finance protocols
- institutional custody solutions
- liquidity infrastructure.

These investments allow the company to benefit both as:

- a capital provider
- an ecosystem participant.

4. Treasury Allocation Model

A balanced allocation strategy **may** resemble the following structure.

Allocation	Purpose	Weight
Bitcoin reserves	Primary treasury asset	40%
ADA reserves	Staking yield and governance participation	30%
DeFi liquidity	Yield generation from Bitcoin liquidity	20%
Infrastructure investments	Venture exposure to ecosystem growth	10%

This approach maintains a strong reserve asset narrative while enabling additional revenue streams.

5. Public Company Strategy

The company will operate as a publicly listed treasury vehicle. The public structure provides several advantages:

- access to global capital markets
- liquidity for investors
- transparent treasury reporting.

The company will maintain a clear objective, to increase digital asset exposure per share over time. This will be achieved through capital raises and treasury accumulation.

6. Corporate Structure

The company will be incorporated in Singapore and publicly listed in Japan. This structure combines operational flexibility with access to a strong investor base interested in digital asset exposure.

Singapore Incorporation

Singapore provides an efficient jurisdiction for operating an international digital asset treasury company due to:

- a well-established financial and legal system
- a strong ecosystem for blockchain and digital asset businesses
- operational efficiency for globally distributed teams

- favourable tax treatment for international businesses.

Singapore will serve as the company's operational base, where treasury management, digital asset custody, staking activities, and strategic investments are conducted.

7. Listing Strategy: Japan

Japan represents a strong market for digital asset treasury companies. Japanese investors have demonstrated significant interest in gaining exposure to digital assets through public companies (e.g. Metaplanet) and have strong connections to Cardano. This company will pursue a listing on the Tokyo Stock Exchange.

Japanese Depositary Receipts (JDRs)

Because the company will be incorporated outside Japan, its shares may be made available to Japanese investors through Japanese Depositary Receipts (JDRs).

Under this structure the foreign company shares are held by a Japanese custodian who issues JDRs to investors for trading on the Tokyo Stock Exchange.

This approach allows Japanese investors to gain exposure to the company while the business operates internationally.

Benefits of a Japanese Listing

A Japanese listing provides:

- access to a large retail investor base
- strong demand for crypto-related equities
- liquidity in digital-asset-themed stocks.

This structure allows the company to combine global operations with Japanese capital market access.

8. Capital Formation

Capital will be raised through:

- equity issuance
- public market offerings
- potential convertible instruments.

Funds raised will be used to expand the digital asset treasury. As the treasury grows, the company's value proposition strengthens.

9. Governance and Transparency

To maintain investor confidence, the company will emphasize transparency. Key practices include:

- regular treasury disclosures
- proof-of-reserves reporting
- audited financial statements.

These measures ensure investors can verify the digital asset backing of the company.

10. Strategic Position

The company aims to become the public market gateway to the Bitcoin DeFi ecosystem. Its strategic position combines:

- exposure to Bitcoin as the dominant digital asset
- participation in Cardano's secure smart contract environment
- investment in infrastructure enabling Bitcoin DeFi.

In addition to providing investors exposure to Bitcoin DeFi without needing to hold Bitcoin, a strategy of supporting the growth in Bitcoin DeFi technology and liquidity will also indirectly support treasury asset value appreciation as TVL increases.

11. Why Now

Several developments are converging to create the conditions for Bitcoin DeFi to emerge as a major new sector of the digital asset economy.

Massive Idle Capital

Bitcoin is the largest digital asset by market capitalization, yet the vast majority of it remains idle. Even a small percentage of Bitcoin entering decentralized finance would represent a substantial expansion of available liquidity.

Institutional Demand for Yield

Institutions increasingly seek yield opportunities in digital assets. While Bitcoin has historically been viewed as a passive store of value, the emergence of decentralized finance infrastructure creates new opportunities for productive use of Bitcoin capital.

Maturing Technology

Cardano's smart contract capabilities have stabilised, with its strong security models supporting complex DeFi systems that have been proven in the broader Cardano tokenisation ecosystem in recent years.

Advancements in zero knowledge technology combined with Cardano's extended UTxO architecture, has enabled simplified equivalence proofs for symmetric pegs, removing the risks with legacy (wrapped) Bitcoin DeFi that uses custodians or federated systems.

Public Market Demand for Crypto Exposure

Public equity markets have demonstrated strong demand for companies providing exposure to digital assets. Companies that hold digital assets on their balance sheets have attracted significant investor interest. A company positioned at the intersection of Bitcoin reserves and emerging decentralized finance infrastructure offers investors a new way to participate in the evolution of digital finance.

12. Long-Term Vision

As Bitcoin liquidity begins to interact with decentralized finance infrastructure, the company will benefit from multiple growth drivers:

- appreciation of Bitcoin reserves
- staking rewards from ADA
- yield from decentralized finance participation
- equity value from infrastructure investments.

Through this structure, the company aims to play a foundational role in the development of Bitcoin DeFi. As the company demonstrates success, expansion into other markets (such as the U.S.) may be considered.

Conclusion

The convergence of Bitcoin liquidity and secure smart contract infrastructure presents a significant opportunity. A publicly listed treasury company focused on this intersection can provide investors with:

- exposure to Bitcoin and Cardano
- participation in emerging Bitcoin DeFi infrastructure
- access to the growth of the broader ecosystem.

By combining Singapore incorporation with a Japanese public listing, the company can operate internationally while accessing a capital market with strong demand for digital asset exposure. This structure positions the company to serve as a bridge between traditional capital markets and the next phase of decentralized finance.